

Extra exercises of Lecture 19

EX 1

Bank Easycredit has a total asset equal to \$500 M, out of which loans maturing within a year are \$65 M and for other \$28 M the percentage maturing in 1 year is 30%. Its liabilities amount to \$190 M, but only \$40 M are short term. If interest rates increase by 80 bps, how does net interest income change for Easycredit? Approximate to the closest first decimal.

- a) \$0.1 M
- b) \$0.3 M
- c) -\$1.3 M
- d) -\$0.8 M

EX 2

To eliminate exposure to interest-rate risk, a financial institution needs to:

- a) have a negative duration gap
- b) keep all its assets in cash, because cash has a duration of 0.
- c) have a duration gap of exactly 0
- d) have a positive duration gap

EX 3

If a bank has assets with 3 years of duration and its liabilities have a 3 years' duration, and the bank has a positive amount of capital the bank's duration gap is:

- a) zero
- b) positive
- c) cannot be determined
- d) negative

EX 4

A bank has a duration of assets of 11 years and a duration of liabilities of 11 years. If interest rates go up, the bank's net worth:

- a) stays constant
- b) increases
- c) decreases
- d) it cannot be determined